

US-China breakdown odds cut to 15%

送信者: EG China 受信日時: 2026-09-26 01:49

【メール原文】

The Busan trade truce is now even less likely to break down before the end of 2026 (15% odds). In August, we raised the odds of a breakdown from 20% to 30%, reflecting concern that President Donald Trump's administration could damage relations by introducing restrictions on Chinese AI development intended to slow China's technological progress (see : Beneath the US-China truce, AI and commercial pressures are mounting , 5 August 2026). That risk has failed to materialize.

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Summit lowers odds of year-end bilateral breakdown

25 Sep 2026 12:45 EDT [Discover more on the Portal](#)

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Eurasia Group is lowering the odds of a US-China truce breakdown before year-end to 15% from 30%, following the leaders' renewed commitment to preserving stable bilateral relations.

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Washington and Beijing remain constrained by reciprocal economic leverage, particularly China's rare-earth coercive capacity which—alongside Beijing's interest in stability ahead of its 2027 Party Congress—underpins the managed-stability basecase.

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The prospective AI safety dialogue signals that the Trump administration will likely defer major technology controls, and while upcoming meetings and delayed Taiwan arms sales should further contain escalation, US decoupling actions may still prompt Chinese retaliation.

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Safety dialogue eases AI-related confrontation. Trump and his administration favor a hands-off approach to AI regulation domestically and seek to preserve the US frontier advantage abroad. That the summit's modest AI outcomes—establishing a potential dialogue focused on safety risks—avoid directly confronting China over AI distillation or technology export controls has calmed tensions. The administration is unlikely to impose substantial additional controls before year-end.

The summit did not produce major deliverables beyond the two-month extension of the truce. However, its political significance lies in the public recommitment by both leaders to maintaining stability. Actions that could rupture the truce, such as major new technology restrictions, tariffs, or Taiwan arms sales, would likely require presidential-level approval. The summit raises the political and diplomatic cost of steps that could trigger an escalatory Chinese response and a breakdown scenario.

Our basecase is managed stability through the end of Trump's term. "Constructive strategic stability"—a term coined during a meeting between Trump and President Xi Jinping in May—emerged largely

because the White House likely realized in late 2025 that China holds a powerful retaliatory weapon in rare earths. Both sides will not break free of the other's coercive leverage for many years, which is a net stabilizer for relations. Beijing also has a strong incentive for stability ahead of the Party Congress in 2027. The next US administration is likely to have a more hawkish view of China, and both sides will continue their de-risking efforts, but Trump is not inclined to break the truce or even threaten China (see: Managed decoupling will define US-China relations through 2031 , 27 August 2026).

The short truce extension will support near-term stability and provide the next deliverable. The truce on reciprocal export controls has been extended to 10 January 2027, but it will likely be further extended during one of the two upcoming leader-to-leader meetings. The limited extension increases the incentive for both sides to deliver near-term commitments. It also gives them a key deliverable to help justify sustained engagement, given that the bilateral agenda is otherwise light on substance beyond narrow tariff reductions. Potential Trump-Xi meetings on the margins of the APEC and G20 summits later this year would provide additional opportunities to manage tensions and sustain the truce (see: Truce extension shortened to press Beijing on magnets , 24 September 2026).

Future Federal Communications Commission actions and Uyghur Forced Labor Prevention Act (UFLPA) listings would result in one-off retaliation from China, but are unlikely to affect the broader relationship. Chinese retaliation would likely be targeted and proportionate; Beijing's early-August response to UFLPA listings involved measures against specific companies and did not cause the truce to collapse (see: Beijing deepens retaliation while keeping summit door open, 5 August 2026).

Congress remains focused on export controls such as the Chip Security Act, the AI Overwatch Act, and the MATCH Act, and may include modified versions of each in the National Defense Authorization Act. However, these would be substantially watered down to address White House concerns and are unlikely to pose a major impediment to the relationship.

Large Taiwan arms sales packages before year-end are highly unlikely. Beijing has conveyed that such sales would violate a core red line and legislative pressure on the administration to approve an arms package will meaningfully increase only in January 2027 under a new Congress. Yesterday, Xi reiterated his May message to Trump that Washington should "proceed cautiously" on Taiwan. He went further, expressing hope that the US would oppose Taiwanese independence. Trump is nevertheless unlikely to make such a commitment. A formal expression of opposition to Taiwan independence would represent a significant shift from Washington's longstanding policy of simply not supporting it. The administration is therefore more likely to delay the \$14 billion arms-sales package while the truce remains in force than to offer Beijing a substantive political concession.

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